

Multiple Choice (10 marks)

1. If the CPI goes to 150 from 120 then prices have
 - (a) fallen 50 percent.
 - (b) fallen 25 percent.
 - (c) risen 15 percent.
 - (d) risen 20 percent.
 - (e) fallen 20 percent.
2. A small business estimates price elasticity of demand for the product to be 3. To raise total revenue, owners should
 - (a) keep the price constant as demand is elastic.
 - (b) decrease price as demand is inelastic.
 - (c) decrease the quality of the product.
 - (d) increase price as demand is elastic.
 - (e) increase price as demand is inelastic.
3. Economics supposedly deals with the efficient allocation of scarce goods. Where does scarcity fit in the circular flow model?
 - (a) Scarcity is relevant only for non-renewable resources in the circular flow model
 - (b) Scarcity is only relevant in the factor markets of the circular flow model
 - (c) Scarcity is only considered in the household sector of the circular flow model
 - (d) Scarcity is addressed through government intervention in the circular flow model
 - (e) Scarcity is implicit in the entire analysis of the circular flow model
4. According to the quantity theory of money increasing the money supply serves to
 - (a) increase long-run output with no significant impact on inflation.
 - (b) have no significant impact on either output or inflation.
 - (c) lower the unemployment rate while also lowering the rate of inflation.
 - (d) increase short-run output but it is the source of long-run inflation.
 - (e) increase the nation's long-run capacity to produce.
5. How might the traditional view of economic efficiency in an oligopoly and the historical facts surrounding many oligopolistic manufacturing industries disagree with each other?

- (a) Historical data contradicts theory
- (b) Oligopolies are less common in practice than in theory
- (c) There is no contradiction between theory and practice
- (d) Historical data is insufficient to determine the efficiency of oligopolies
- (e) Oligopolies typically demonstrate higher innovation rates than predicted

True / False (10 marks)

Answer True or False

- 6. True or False: If nominal GDP is 6000 and the GDP deflator is 200, then real GDP equals 6000.
- 7. True or False: Raising taxes on disposable income is an effective measure to combat built-in inflation by reducing consumer spending.
- 8. True or False: Social overhead capital primarily consists of private sector investments in technology startups aimed at innovation and profit.
- 9. True or False: Lower interest rates can lead to decreased private investment, which enhances the impact of expansionary fiscal policy.
- 10. True or False: In the long run, a tax cut in a full employment economy will have no effect on the price level but will increase real output.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the relationship between income elasticity of demand for real money and real income growth. Given an elasticity of 0.8 and a demand growth of 2.6%, calculate and analyze the growth rate of real income.
- 12. Discuss how public debt can create inflationary pressures in an economy, focusing on its impact on consumption spending and the implications of delayed purchasing power.

End of Paper